

average holding period was 27 years. (Note this is an implied holding period based on the fund's turnover. In 1949, the fund was not yet 27 years old.) And it attracted like-minded investors. Redemptions were less than 3 percent per year. The fee was only 40 basis points (or 0.4 percent). By 1960, the fee would drop to just 19 basis points.

But unlike Voya, this tale has a sad ending. MIT's story also illustrates another old truism: Wall Street often turns good ideas into bad ones. It would soon corrupt the simple, brilliant idea of the open-ended mutual fund and turn it into just another moneymaker for Wall Street.

The problem with MIT from Wall Street's perspective is that nobody could make any money off it — except the investors in the fund. So, somehow, somebody convinced MIT to take on an external manager in 1969.

Before that, MIT had its own managers in-house. This was the beginning of the end.

With an external manager, the fee started to go up. By 1969, the fee was up 36-fold while assets under management were up just 7-fold. The external manager also managed the fund more aggressively and traded more frequently. A sad decline set in. By 2004, Blackrock bought the fund and merged it with others. MIT was no more.

The typical fund these days charges a lot, trades way too much and trails the market badly. Lowenstein wrote in his book that the average fund has 160 stocks and turns them over every year. That's not investing.

But Wall Street makes money.

The establishment doesn't want you to just sit on carefully chosen stocks. It wants to charge you fees. It wants to sell you stuff.

This brings us back again to the Voya fund. MIT's tale makes it seem all the more incredible the Voya fund lasted as long as it has with its initial mission intact. It's a special fund, a piece of Americana.

Okay, so maybe you don't hold stocks for 80 years. And maybe even my coffee-can approach — with its 10-year holding period — is still too long-term for you.

But there is surely some young person in your life whom you can share the wisdom of long-term investing with. Tell them about the coffeecan idea. Tell them the story of the Voya fund. Make them wise to